

RD-8 — Fraud Prevention Program

Mintware · Bridge/Stripe Stablecoin-Issuing Card Program

1. Spend authorization — belt and suspenders

Every card swipe passes through two independent controls. **Belt — role-based daily cap:** each member's spend is bounded by a fixed role-preset daily limit, checked against cumulative approved spend for the current UTC day, not just the single swipe in question. An optional standing tier can widen this limit for members with a track record of settled spend, but can only ever widen a limit within the existing hard cap. **Suspenders — real-money backstop, fail-closed:** every swipe is independently checked against either a pre-funded, atomically-reserved buffer balance, or a live hold against the member's actual on-chain vault equity. If the live-hold service is unreachable or unconfigured, the swipe is declined.

2. System-wide circuit breaker

A global guard can halt all authorizations platform-wide — every charge, even a trivially fundable one, declines with a distinct reason, regardless of any individual balance or cap. A deliberate stop-loss: if a stress condition is detected upstream, the whole authorization surface halts rather than continuing to approve against a system that may not be able to honor them.

3. Always-liquid hot-buffer reserve

A configurable minimum-liquidity-reserve floor is enforced before any charge is allowed to draw liquidity below it — sized to absorb settlement-timing risk. A charge that would breach this floor is declined with its own distinct reason, separate from a plain insufficient-funds decline.

4. Multi-collateral, freshness-gated valuation

Where a member's spend authority spans more than one collateral type, the aggregate spendable amount is the sum of each position's equity, with a hard safety rule: a single stale price or stale NAV on any one leg fails the entire aggregate valuation safe. ETH-denominated legs are additionally reduced by a VaR-style haircut before being counted as spendable.

5. Idempotent, capped settlement

The on-chain settlement leg is capped under \$250 per transaction on the current settlement path, bounding maximum single-transaction exposure regardless of any other control. Settlement is idempotent per hold: a repeated settlement request for the same authorized hold cannot double-submit or double-pay.

6. Fail-closed posture as a design principle

Every money-moving control in this program defaults to declining, not approving, when a dependency is unavailable — an unreachable authorization service, or an unset bearer secret on an internal service, both result in rejection, never a default approval.

7. Scope

Device/behavioral fraud signals (velocity checks beyond the daily cap, geolocation anomaly detection, merchant-category risk scoring) run on Stripe Issuing's own network-level fraud tooling (Radar), composing with the controls above rather than duplicating them.